Market Stress Tripwires: Weekly Check, 7 October 2026

Investment Research Portfolio · Project 16 · market data to the close of 6 October 2026 · monitoring, not financial advice

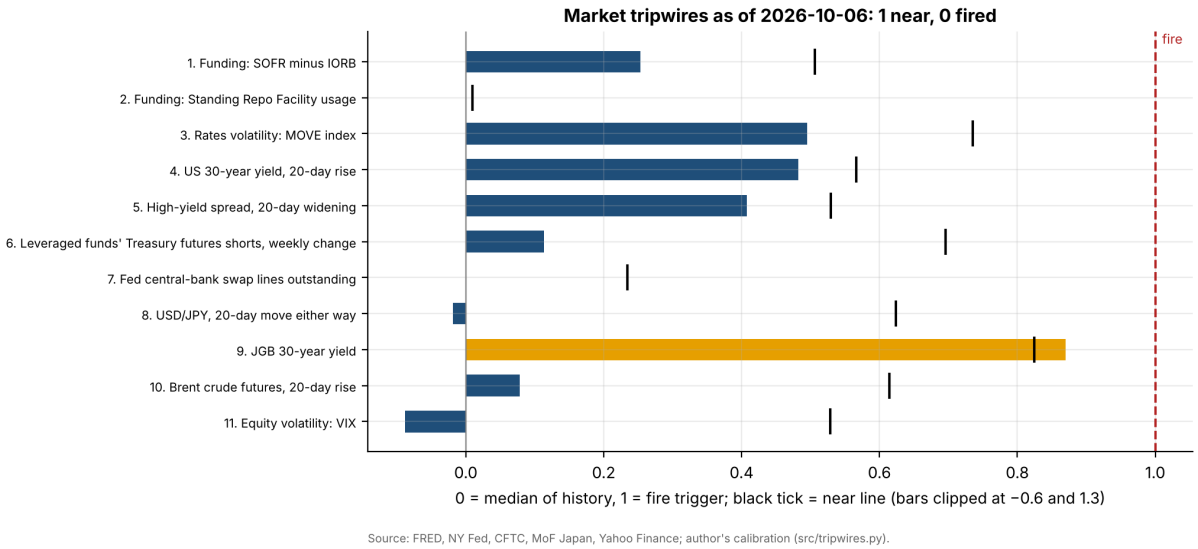
Verdict

0 of 17 tripwires fired; 4 are near their line. Verdict: bending, not breaking. The one market tripwire near its line is the Japanese 30-year yield (4.168% on 6 Oct, against a near line of 4.05% and a 4.5% trigger). Rates volatility rose but stayed well short: MOVE closed at 113.6 on 5 Oct and 105.2 on 6 Oct, against a 130 trigger. The US 30-year yield rose 39bp in 20 trading days to 5.64%, below the +46bp near line. Equity volatility (VIX 15.01) and funding (SOFR at IORB, no repo facility use) are calm. Three event tripwires are near: private credit defaults are at a record (Fitch, 6.3% in August); the five largest non-traded private credit funds prorated Q3 redemptions to their 5% cap; and AM Best cut two A-CAP life insurers to C+. None has fired.

1. Scorecard

#	Tripwire	Latest (date)	Trigger	Status
1	Funding: SOFR minus IORB	SOFR – IORB +0bp (06 Oct)	near +7bp, fire +21bp	ok
2	Funding: Standing Repo Facility usage	$0.0bn (06 Oct)	near $0.05bn, fire $4.73bn	ok
3	Rates volatility: MOVE index	105.2 (week before 106.6) (06 Oct)	near 117, fire 130 (set by user)	ok
4	US 30-year yield, 20-day rise	5.64%, +39bp in 20 days (06 Oct)	20-day rise: near +46bp, fire +82bp	ok
5	High-yield spread, 20-day widening	3.03%, +36bp in 20 days (06 Oct)	20-day widening: near +49bp, fire +101bp	ok
6	Leveraged funds' Treasury futures shorts, weekly change	$1.08tn, -1.1% w/w (29 Sep)	weekly fall: near -8.8%, fire -12.9%	ok
7	Fed central-bank swap lines outstanding	$207m (week before $72m) (30 Sep)	near $111bn, fire $475bn	ok
8	USD/JPY, 20-day move either way	157.81, 1.6% move in 20 days (02 Oct)	20-day move: near 6.2%, fire 8.9%	ok
9	JGB 30-year yield	4.168% (06 Oct)	near 4.05%, fire 4.50% (set by user)	**near**
10	Brent crude futures, 20-day rise	$100.58, +2.7% in 20 days (06 Oct)	20-day rise: near +15%, fire +24%	ok
11	Equity volatility: VIX	15.01 (06 Oct)	near 33.0, fire 46.8	ok
12	Private credit defaults (Fitch US TTM rate)	6.3% for August 2026 (record; July 6.1%, +0.2pp); no September reading published yet (normally mid-October)	near = a new record high; FIRED = a new record that is also ≥ 0.5pp above the previous month	**near**
13	Bank failures and Fed emergency lending	Nano Banc (Irvine, CA; $736m assets) closed 25 Sep 2026, the sixth and largest US failure of 2026 (below $1bn); no 13(3) facility	near = failure of a bank with ≥ $1bn assets; FIRED = failure of a bank with ≥ $10bn assets, or a new Fed Section 13(3) facility	ok
14	Life insurer liquidity	AM Best cut A-CAP's Atlantic Coast Life and Sentinel Security Life to C+ (Marginal) from B (reported 23 Sep 2026; article seen only as a search excerpt); nothing at Athene, F&G, Global Atlantic, Brighthouse or Corebridge	near = a US life insurer downgraded into AM Best's vulnerable range (B or lower) or put under review for surrender stress; FIRED = surrenders suspended, regulatory supervision, or a multi-notch downgrade of an insurer with ≥ $50bn assets	**near**
15	Non-traded private credit fund redemptions	Q3 2026 requests: Blue Owl OCIC ~16.8%, Cliffwater CCLF ~16%, Apollo ADS ~14.7%, Ares ASIF 13.1%, HPS HLEND ~11.5%, all paid at 5%; KKR K-FITS 5.06% paid in full. Q4 data due late Nov–Dec	near = redemption requests above the 5% quarterly cap (pro-rata payouts) at two or more funds with ≥ $10bn NAV; FIRED = such a fund suspends its tender programme or pays less than its cap	**near**
16	GPU-backed / AI data-centre debt	None found. Watch: CoreWeave's DDTL 3.0 equity-cure right runs to 28 Oct 2026; data-centre debt yields ~10% (Bloomberg 23 Sep). Nebius raised GPU prices 17–21% from 1 Oct, but spot H100 rental indices fell in early October	near = a covenant waiver or equity cure, or a GPU-backed ABS downgrade; FIRED = default, missed payment or distressed exchange by a GPU-cloud or AI data-centre issuer	ok
17	Treasury margins and clearing	None found. SEC deadlines unchanged: cash Treasuries 31 Dec 2026, repo 30 Jun 2027; CME Securities Clearing launches 7 Dec 2026	near = a CME Treasury futures margin increase, or a delay to the SEC clearing deadlines; FIRED = a margin increase ≥ 20% in one step, a FICC/clearing disruption, or a settlement-fails spike	ok

Table 1. All 17 tripwires. Market tripwires (1–11) use the last complete session before 7 Oct; event tripwires (12–17) use news to 7 Oct. Triggers for 1–11 come from each series' own history (section 2).

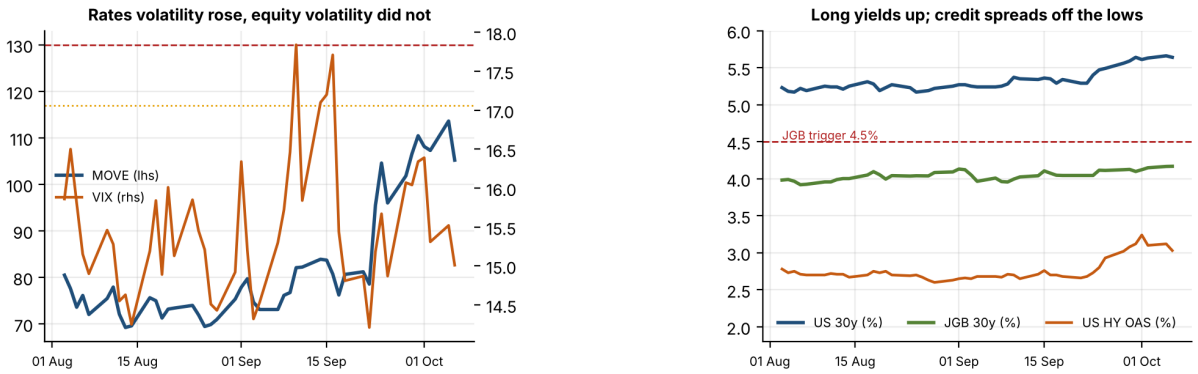


Source: FRED, NY Fed, CFTC, MoF Japan, Yahoo Finance; author's calibration (src/tripwires.py).

Figure 1. Where each market tripwire sits between its historical median (0) and its fire trigger (1).

2. What changed this week

- **Bond market:** MOVE rose from 101.8 (28 Sep) to 113.6 (5 Oct) before falling back to 105.2. The 5 Oct close was the highest since 115.0 on 26 Mar 2026. The US 30-year yield reached 5.66% on 5 Oct and closed at 5.64% on 6 Oct; the 10-year was 5.27%.
- **Japan:** the 30-year JGB yield reached 4.168% on 6 Oct (Ministry of Finance), up 16bp from 4.009% a month earlier. Live quotes on 7 Oct were about 4.21–4.23%, which MoF will publish the next day.
- **Credit:** the US high-yield spread was 3.03% on 6 Oct, down from 3.24% on 1 Oct but up 36bp over 20 days.
- **Positioning:** leveraged funds' Treasury futures shorts were $1.079tn on 29 Sep, down 1.1% from $1.090tn. That is far from the –8.8% weekly fall that marks the near line.
- **Oil:** Brent front-month futures were $100.58 on 6 Oct, about flat on the month. Dated Brent spot (EIA) was much higher at $125.44. The physical market is tight while US–Iran talks have not reopened the Strait of Hormuz, and three tankers were struck near Hormuz on 4–5 Oct.
- **Private credit:** Q3 redemption requests were 11.5–16.8% of shares at the five largest non-traded funds, all paid at the 5% cap. KKR's K-FITS met 5.06% in full. No fund suspended its tender.



Source: Yahoo Finance (MOVE), FRED (VIX, DGS30, HY OAS), MoF Japan. Dotted/dashed: MOVE near 117 / trigger 130.

Figure 2. Slow and fast gauges, August to October 2026.

3. Next two weeks (verified dates)

- Treasury auctions: 3-year on 6 Oct, 10-year on 7 Oct, 30-year on 8 Oct (all settle 15 Oct). Watch the tails given MOVE.

- Q3 bank earnings begin with JPMorgan on 13 Oct.
- Fitch's September private credit default rate, normally mid-October. A reading at least 0.5pp above August's 6.3% fires tripwire 12.
- CFTC Traders in Financial Futures every Friday (positions as of Tuesday).
- Just after the window: CoreWeave's DDTL 3.0 equity-cure right expires 28 Oct; FOMC 27–28 Oct (futures price about an 18–20% chance of a hike); UK Budget 28 Oct; BoE decision 5 Nov (a hike about 85% priced); month-end repo; the continuing resolution expires 11 Dec; the SEC cash-Treasury clearing deadline is 31 Dec 2026.

4. Method

Market tripwires (1–11). Each trigger comes from the series' own history up to 31 Dec 2025, so 2026 is out of sample. *near* = 95th percentile and *fire* = 99th percentile of daily values (5th and 1st for the weekly change in leveraged funds' shorts). Level gauges (SOFR − IORB, repo facility use, swap lines, VIX) are tested on their level. Trending series are tested on their speed: the change over 20 observations (US 30-year yield, HY spread, Brent), or the absolute move either way (USD/JPY). The user set two triggers, MOVE 130 and JGB 30-year 4.5%; for those, near means within 10% of the trigger. Under this rule each tripwire is at or beyond its fire line on about 1% of historical days. The exceptions are MOVE, where 130 was exceeded on 8.5% of days, and the JGB 30-year, which has never reached 4.5%. **Event tripwires (12–17)** have the written rules shown in Table 1. They are checked against news sources listed in data/events.csv.

Episode	Fired	Near	Tripwires with data	Which fired
Bear Stearns (2008-03-14)	1	2	7	3
Lehman (2008-09-15)	1	0	7	3
Oct 2008 crash (2008-10-10)	2	2	7	3, 11
US downgrade (2011-08-08)	1	2	8	11
Taper tantrum (2013-06-24)	0	1	8	–
China devaluation (2015-08-24)	0	1	8	–
Volmageddon (2018-02-05)	0	1	8	–
Repo spike (2019-09-17)	1	1	9	1
Covid (2020-03-16)	2	2	9	3, 11
UK gilt crisis (2022-09-28)	1	1	10	3
SVB (2023-03-13)	1	1	10	3
Yen carry unwind (2024-08-05)	1	3	11	8
US tariffs (2025-04-08)	3	1	11	3, 5, 11

Table 2. Back-test: tripwires at fire or near status in the two weeks ending on each date. At least one market tripwire fired on 13% of business days since 2007, three or more on 0.9%.

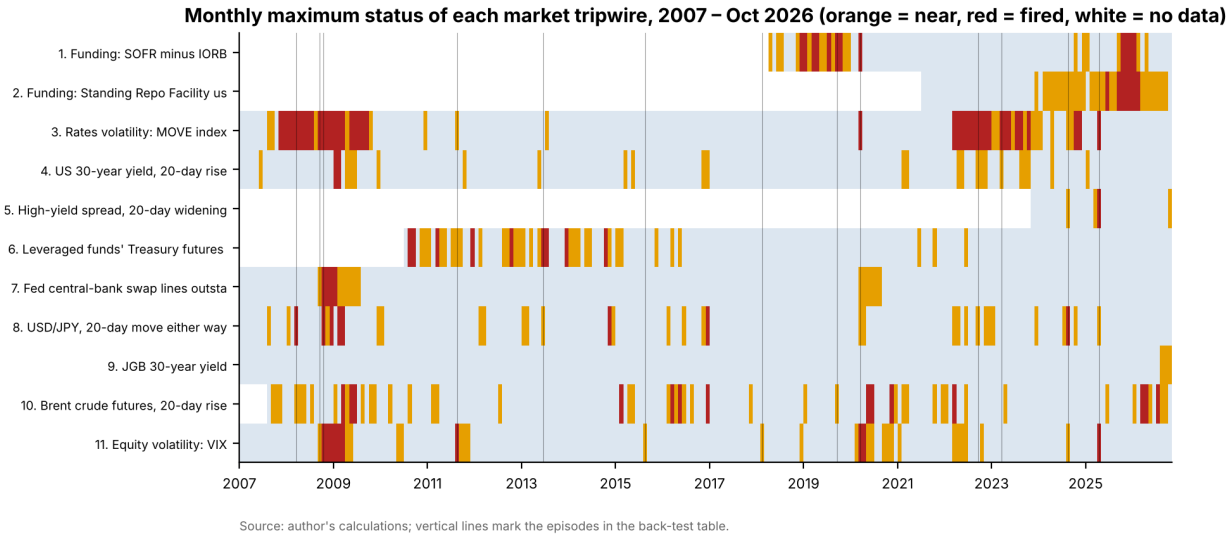


Figure 3. Monthly maximum status of each market tripwire since 2007.

The back-test shows what the tripwires can and cannot do. MOVE, VIX and USD/JPY caught the large shocks (2008, Covid, the gilt crisis, SVB, the yen carry unwind and the April 2025 tariffs), and SOFR – IORB caught the September 2019 repo spike. The 2013 taper tantrum, the 2015 devaluation and the February 2018 volatility spike reached only near status. The repo facility tripwire has been near or fired at most quarter-ends since 2024, because usage there is routine.

5. Corrections to the 7 October draft

item	draft (7 Oct note)	verified	source
1 SOFR vs IORB	SOFR 3.89% vs IORB 3.90% = –1bp (5 Oct)	Correct for 5 Oct; latest is 6 Oct: SOFR 3.90% = IORB, 0bp	NY Fed; FRED IORB
1 SRF rate	4.00%	Correct: minimum bid rate = top of the 3.75–4.00% target range	NY Fed
2 Standing repo usage	$0 (6 Oct); $1.2bn at quarter-end	Correct ($0.0bn on 6 Oct; $2m on 5 and 7 Oct; $1.2bn on 30 Sep)	FRED RPONTSYD
3 MOVE	~116 (6 Oct), highest since Apr 2025; baseline ~102	Daily closes: 113.6 on 5 Oct, 105.2 on 6 Oct. ~116 is CoinDesk's rounded figure. 113.6 is not the highest since Apr 2025: 115.0 on 26 Mar 2026 was higher (Yahoo). Baseline 101.8 (28 Sep) correct	Yahoo ^MOVE; CoinDesk 6 Oct
4 US 10y / 30y	5.27% / 5.64% (6 Oct); 30y 5.66% on 5 Oct; baseline 5.24 / 5.56	Correct (baseline = 28 Sep values)	FRED DGS10, DGS30
5 HY spread	3.12% (5 Oct), baseline 2.93%, +19bp	Stale: 3.03% on 6 Oct. Baseline 2.93% is 25 Sep (30 Sep was 3.12%), so the change is +10bp on 25 Sep, –9bp on 30 Sep	FRED BAMLH0A0HYM2
6 Lev. fund UST shorts	≈$1.08tn (29 Sep), –1% w/w; baseline ≈$1.09tn	Correct: $1,078.7bn vs $1,090.1bn, –1.05% (face value, six CBOT contracts)	CFTC TFF
7 Fed swap lines	$207m (30 Sep); baseline $72m	Correct; baseline is 23 Sep	FRED SWPT
8 USD/JPY	157.81 (2 Oct)	Correct (Fed H.10); market rate on 6 Oct ~158.0	FRED DEXJPUS; Yahoo
9 JGB 30y	4.22% (7 Oct), +25bp in a month; baseline 4.12%	MoF has 4.168% on 6 Oct; 7 Oct not yet published (live quotes ~4.21–4.23%). Change over a month: +16bp from 4.009% (7 Sep) to 6 Oct; +25bp is not supported by MoF data. Baseline 4.122% (28 Sep) correct	MoF Japan
10 Brent	~$100.9 (7 Oct), baseline ~$100	Correct for front-month futures (100.85 intraday 7 Oct; 100.58 close 6 Oct); baseline 105.3 on 28 Sep, so ~$100 is not the 28 Sep level. Dated Brent spot (EIA) is far higher: $125.44 on 6 Oct	Yahoo BZ=F; FRED DCOILBRENTEU
11 VIX	15.52 (5 Oct), baseline ~16	Stale: 15.01 on 6 Oct	FRED VIXCLS
12 Private credit	Fitch 6.3% record; KKR K-FITS paid 5.06% in full, 6 Oct	Correct; KKR news was 5 Oct (Bloomberg), 6 Oct is the syndication	Bloomberg
13 Failures	Nano Banc ($736m) failed 25 Sep, before the 30 Sep baseline	Facts correct. The market baselines are 23–28 Sep values, so 25 Sep is not clearly before the baseline; under the rule used here a $736m failure is below the $1bn near line anyway	FDIC
15 NT private credit	Ares 13.1 / Apollo 14.7 / HPS 11.5% (baseline)	Correct, these are Q3 2026 requests, all prorated to 5%	Reuters
16 GPU debt	Nebius raised GPU prices up to 21% from 1 Oct	Correct (17–21% on selected Nvidia GPUs); spot H100 rental indices fell in early October	Reuters; Ornn
Calendar	Mid-October 3/10/30-year auctions	Wrong: 3y 6 Oct, 10y 7 Oct, 30y 8 Oct (settle 15 Oct)	US Treasury
Calendar	Q3 bank earnings start mid-October	Correct: JPMorgan 13 Oct	JPMorgan IR
Calendar	FOMC 27–28 Oct, ~25% chance of a hike	Date correct; hike odds about 18–20% (CNBC 2 Oct: 18%)	CNBC
Calendar	UK budget 28 Oct; BoE hike ~85% for early November	Correct; MPC decision 5 Nov	Marc to Market; HSBC via FXStreet
Calendar	11 Dec funding deadline; 31 Dec clearing deadline	Correct: continuing resolution expires 11 Dec; SEC cash-Treasury clearing 31 Dec 2026 (repo 30 Jun 2027)	White House; SIFMA

Table 3. Each figure in the draft note checked against its primary source.

6. Limitations

- **Thresholds are statistical, not causal.** A 99th percentile is rare by construction, not necessarily dangerous. Swap lines fire only at 2008- or 2020-scale usage ($475bn).
- **Short histories.** FRED carries only three years of the HY spread (ICE licensing). The repo facility dates from July 2021 and SOFR from April 2018.
- **Data timing.** USD/JPY (Fed H.10) lags by several days, and MoF publishes JGB yields the next day. MOVE comes from Yahoo Finance, and its daily values differ slightly from some other vendors.
- **Event tripwires depend on news search.** Several pages were paywalled or blocked, so some items rest on search excerpts and syndicated reports (noted in data/events.csv). 'None found' is not proof that nothing happened.

Sources. NY Fed (SOFR, repo operations); Federal Reserve via FRED (IORB, IOER, H.4.1 swap lines, H.10 USD/JPY, VIX, Treasury yields, ICE BofA HY OAS, EIA Brent spot); CFTC Traders in Financial Futures; Ministry of Finance Japan; Yahoo Finance (MOVE, Brent futures); Bloomberg, Reuters, CNBC, Banking Dive, FDIC, Federal Register, SIFMA, AM Best via InsuranceNewsNet, Iran International, US Treasury and JPMorgan IR for events and dates.